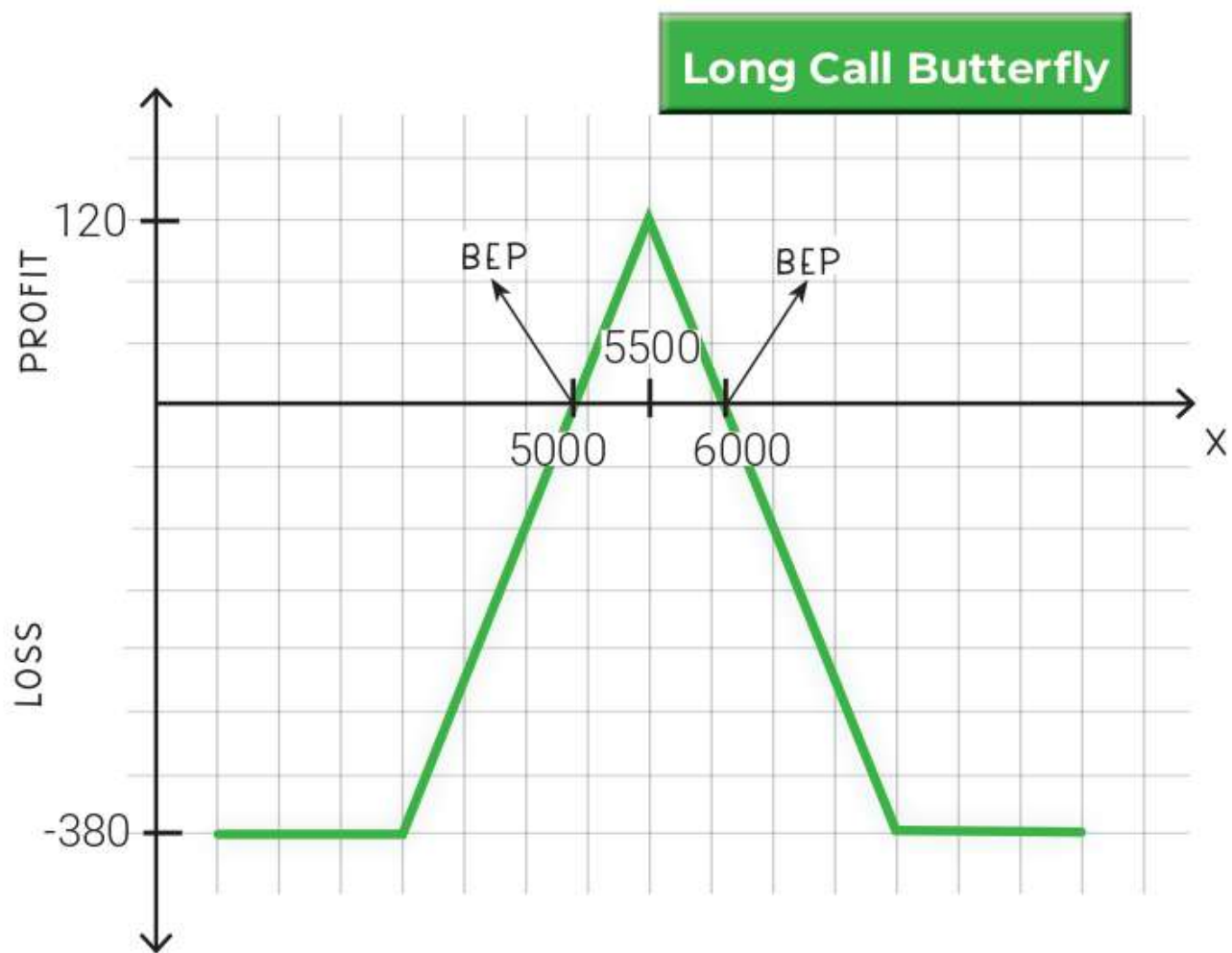




MAXIMUM LOSS/ NET PREMIUM/ NET DEBIT/ NET INVESTMENT

$$= ₹600 - ₹260 + ₹40$$

$$= ₹380$$

At price ₹5000 or below ₹5000, all the 4 options are invaluable i.e., no payoff. And our loss will be fixed at ₹380.

Beyond ₹5000, say at ₹5020, our losses will be reduced with the payoff we get from the first call that we bought at ₹5000. So, at ₹5020 our losses will be

$$= ₹380 - ₹20$$

$$= ₹360$$